

1-D:

Option D) *“The rise in interest rates in Malaysia in July 2022 is expected to only have a small impact on the rate of inflation”* is normative because it contains a value judgment about the likely impact and implies an opinion on the adequacy of the policy effect.

Normative statements are subjective, cannot be tested true or false, and often involve predictions or prescriptions. In this case, the phrase “only have a small impact” is evaluative and non-verifiable with objective data alone. Hence, key D is correct.

Option A is incorrect because it is a positive statement giving a measurable fact (inflation rising from 2.8% to 3.4%) that can be verified statistically.

Option B is incorrect because it compares inflation rates between Malaysia and Thailand, a factual, testable observation without value judgment.

Option C is incorrect because it simply states a policy action (interest rates rising from 2.0% to 2.25% on a given date), which is factual and verifiable.

2-A:

Option A is correct because moving capital equipment to a new location and increasing both capital and labour means the firm has changed all factors of production. The long run is defined as the period in which all factors are variable; here, the firm is not constrained by fixed capital and is able to expand production capacity through both capital and labour. Hence, key A is correct.

Option B is incorrect because the “very long run” refers to a period in which technological progress changes production methods — there is no evidence here of technological change.

Option C is incorrect because simply adding workers does not guarantee more specialisation.

Option D is incorrect because the actions described would increase production capacity and shift supply to the right, not to the left.

3-C:

Option C is correct because national defence is non-rival, which means that one citizen’s protection does not reduce protection available to others. The statement claiming it is rival is factually wrong, misclassifying a core property of public goods.

Option A is incorrect because addictive drugs can be considered demerit goods partly due to consumers underestimating the harm, consistent with imperfect information.

Option B is incorrect because air has no opportunity cost and fits the definition of a free good.

Option D is incorrect because visits to a doctor are rival: time allocated to one patient reduces availability for others, so calling them partly rival is accurate.

4-A:

Option A is correct because a straight-line PPC shows constant opportunity cost, as the trade-off between two goods is the same regardless of output levels. This happens when resources are equally efficient in producing both goods.

Option B is incorrect because a concave PPC (bowed out) shows increasing opportunity cost.

Option C is incorrect because a convex PPC (bowed in) would suggest decreasing opportunity cost.

Option D is incorrect because the curve slopes upward, which contradicts the PPC principle that producing more of one good requires producing less of the other. An upward slope would imply no trade-off and no opportunity cost.

5-C:

Point S lies inside the PPC, meaning resources are not being used efficiently possibly due to outdated farming methods, lack of finance, or part-time labor.

Point T lies on the PPC, representing **efficient use of resources**.

If agricultural practices improve (e.g. better training, access to finance, full-time skilled labor), the economy can move from **inefficient production (S)** to **efficient production (T)**. This will result in an increased output of agricultural goods, hence making key C correct.

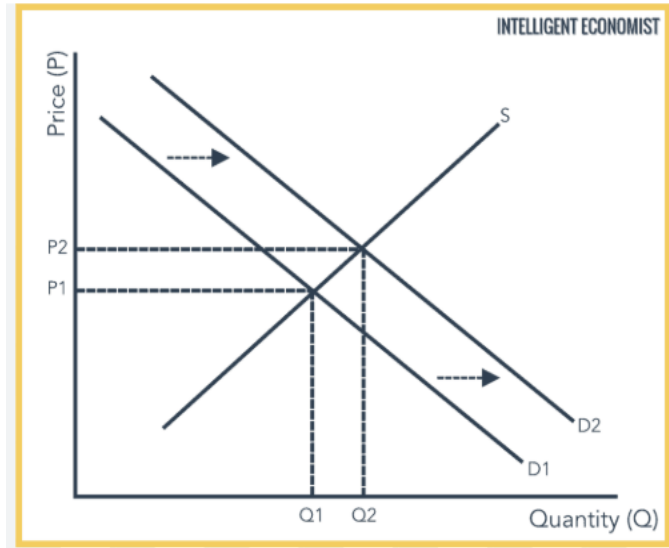
This shift shows **better productivity without changing total resources**, so it's a movement **within the existing curve**, not an outward shift.

A (R to T): Both R and T lie on the PPC, so this movement shows a change in resource allocation, which represents opportunity cost, and not improved efficiency. It doesn't reflect better working practices.

B (S to R): While movement from S to R suggests a shift from actual to potential output, it reflects a rise in manufactured goods, with the output of agricultural goods being unchanged. This does not indicate improved agricultural efficiency but rather indicates efficient utilization of resources involved in producing manufactured goods.

D: Movement from T to R represents a change in resource allocation, where more resources are directed toward manufactured goods and fewer toward agriculture. This shift illustrates the concept of opportunity cost — gaining more of one good by sacrificing some of the other — but it doesn't reflect improved agricultural practices, making it an incorrect answer.

6-B: This situation explains a scenario whereby there is a rise in both quantity (output traded) and the price. This occurs due to a rise in the demand for the good. A rise in demand results in a shortage, which leads to an upward pressure in the price level. As a result, there is an extension in quantity traded of the good. This means that we are interested in an option that brings about a rise in the demand for the good. This can be seen in the figure below.



Option B is correct because a higher price of a substitute results in a contraction in the quantity traded of the substitute. This will lead to consumers to switch to our good, which would now appear more attractive since it will be relatively cheaper, as a result of which, the demand for the good will increase. This will lead to a situation of a higher price, and a higher quantity sold.

Option A is incorrect because lower input costs shift supply right. This will result in a surplus in the market, lowering prices. And consequently, there will be an extension in the quantity demanded, which is the quantity traded.

Option C is incorrect because higher tax shifts supply left. This will result in a shortage in the market, which will put an upward pressure on the price, but will also reduce the quantity sold.

Option D is incorrect because monopolies tend to restrict output. By restricting supply, they create shortages, which raises prices. In this case, the price will be high, but the output will be less.

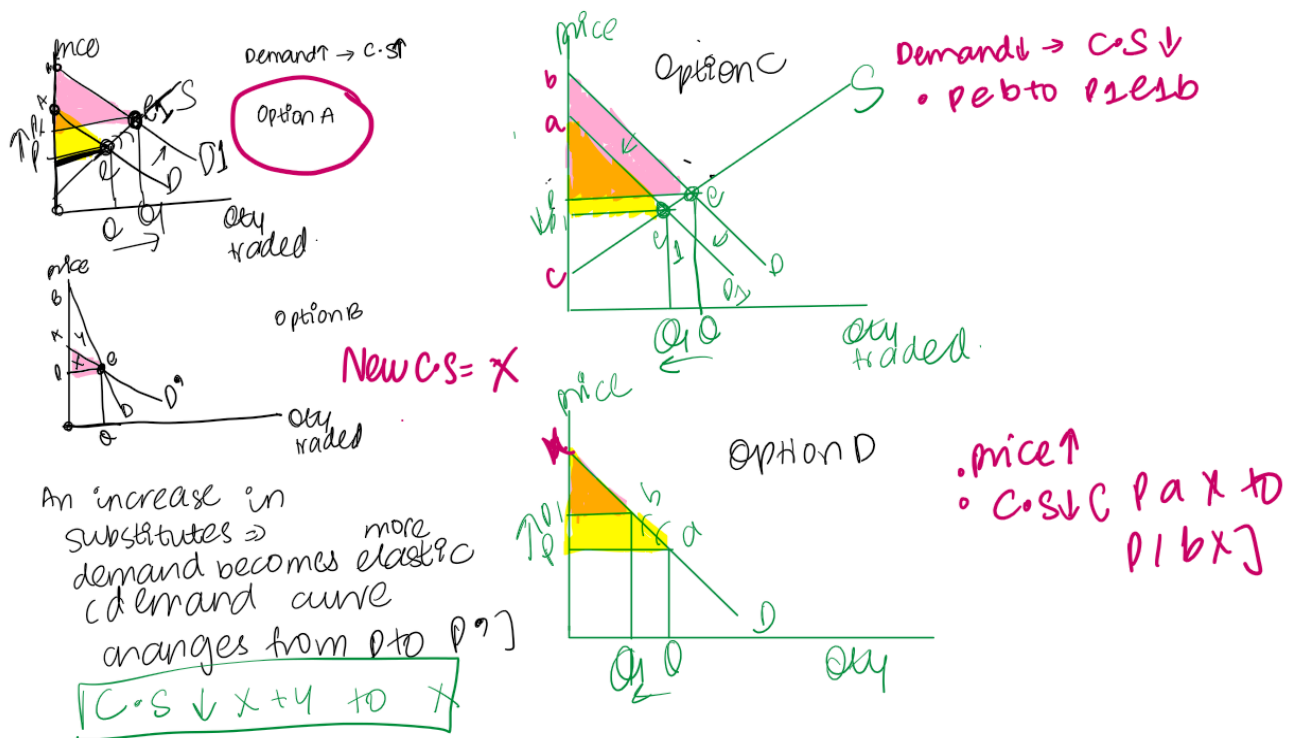
7-A:

Option A is correct because higher incomes increase demand for normal goods, raising equilibrium price and quantity and expanding consumer surplus. This can be seen in figure#1 below. This explains why key A is correct.

Option B is incorrect because more substitutes make demand more elastic, which will reduce the consumer surplus, as evident in the diagram below.

Option C is incorrect because a higher price of a complement reduces demand for the good, lowering consumer surplus.

Option D is incorrect because a higher price of the good itself directly reduces consumer surplus.



8-C:

Option C is correct because Yim's demand for restaurant meals is inelastic (-0.8), so a price rise of restaurant meals results in contraction in quantity demanded by a smaller percentage, which increases total spending. And demand for cinema tickets is elastic (-1.3), so a price fall results in extension in quantity demanded by a relatively higher percentage. This increases total spending there too. Both effects raise Yim's expenditure on each good.

Option A is incorrect because not all restaurant owners will earn more — for Lee, whose demand is elastic (-1.2), a price rise reduces revenue.

Option B is incorrect because Lee's spending on restaurant meals would fall by a relatively higher percentage with higher prices given elastic demand, thereby leading to a fall in total expenditure on restaurant meals.

In addition to this, Lee's spending on cinema tickets will also fall, as upon a decrease in price of cinema tickets, qty demanded will extend by a relatively smaller percentage given inelastic demand (-0.7), which will consequently result in a fall in total expenditure of Lee.

Option D is incorrect. Since the price for cinema tickets has fallen, cinema owners would gain less revenue only if demand is inelastic for all consumers; Lee's is inelastic for cinema tickets (-0.7), so spending may not rise for him. **However, for Yim, the demand is elastic, so his qty demand for cinema tickets will extend by a relatively higher percentage, which means that his spending will rise.**

9-B: **Option B is correct** because when individual firms' supply curves are aggregated into a market supply curve, the market price changes along the curve and is not held constant.

The other factors affecting supply, which include number of firms, factor prices, and technology are assumed fixed.

Option A is incorrect because the number of firms is fixed in the short run; a change would shift the curve.

Option C is incorrect because factor prices are constant in this aggregation; changes would shift supply, not cause movement along it.

Option D is incorrect because technology is assumed unchanged when aggregating short-run supply.

10-D:

Price elasticity of supply (PES) measures how much quantity supplied changes in response to a change in price. A shortage of **skilled workers** is an input constraint: firms cannot expand production quickly because the skilled labour they need is scarce. That makes the short-run supply response **less** sensitive to price increases i.e. supply becomes more **inelastic**. Hence, key D becomes correct.

A) Cross elasticity of demand measures how the quantity demanded of one good responds to a price change in another good (substitutes or complements). That concept is about relationships between products, not about input shortages, so a worker shortage does not directly change cross-elasticities.

B) Income elasticity of demand measures how demand for a good responds to changes in consumers' income. A shortage of skilled workers does not directly change how consumers react to income changes.

C) Price elasticity of demand (PED) is about consumers' responsiveness to price changes. A shortage of skilled labour affects producers' ability to supply, not consumers' willingness to buy.

Quick exam tip: whenever the question mentions changes in availability of production inputs (labour, capital, raw materials), think of the price **elasticity of supply**.

11-D:

Option D is correct because a decline in public transport quality reduces its non-price appeal, shifting the demand curve left from D1 to D2. This represents a fall in demand at every price level.

Option A is incorrect because higher car running costs make public transport more attractive, shifting demand right.

Option B is incorrect because being banned from driving forces greater reliance on public transport, shifting demand right.

Option C is incorrect because a price rise for public transport causes a contraction along the demand curve, not a shift.

12-A:

Option A is correct because increasing road maintenance is a direct provision of a good/service by the government. The state is producing and supplying the service itself.

Option B is incorrect because payments to families are transfer payments, not direct provision.

Option C is incorrect because subsidies encourage private provision, not direct government production.

Option D is incorrect because taxing polluting firms is a corrective measure, not direct provision.

13-B:

When the **price elasticity of supply (PES) is zero**, supply is perfectly inelastic, meaning suppliers cannot change the quantity supplied at all, regardless of price. In this case, if a specific tax is imposed, suppliers must bear the entire burden of the tax because they have no ability to reduce output or shift the tax onto consumers. This makes **option B** correct, as the burden of the tax will fall entirely on suppliers.

Option A is incorrect because consumers only bear the entire burden of a tax when the **price elasticity of demand (PED) is zero**, meaning demand is perfectly inelastic. This happens when consumers will buy the same quantity regardless of price changes, such as with life-saving medicines.

Option C is also wrong because consumers bear *mainly* the burden only when PED is low but not zero. In such cases, like with petrol, quantity demanded falls only slightly when prices rise, so most of the tax gets passed on to consumers but not all.

Option D is incorrect because suppliers mainly bear the burden of a tax when supply is relatively inelastic (low PES) and demand is relatively elastic (high PED). In such cases, common with goods that have many substitutes, raising prices significantly reduces quantity demanded, so suppliers are unable to pass most of the tax onto consumers and instead absorb a larger share themselves.

14-C:

Option C is correct because healthcare generates positive externalities. While private consumption brings direct benefits to the individual, it also creates wider benefits for the society. **In a free market, these external benefits are not fully reflected in the price, leading to under-consumption and under-production compared to the socially optimal level.** Additionally, healthcare is prone to **information failure** as many consumers underestimate or lack awareness of the long-term benefits of preventive care or early treatment. This leads to demand being lower than what is socially desirable, justifying government intervention to increase provision. Hence, key C, is correct.

Option A is incorrect because overconsumption occurs with negative externalities, which is not the case here.

Option B is incorrect because overconsumption and underproduction cannot logically occur together; the market failure in the case of merit goods here is associated with both underconsumption and underproduction.

Option D is incorrect because overproduction of healthcare (which is a merit good) is not typical in a free market.

15-D:

Option D is correct because the CPI rose from 108 to 111 in 2013, an increase of about 2.78%, which is smaller than any other annual rise shown. This makes it the smallest price increase in the period.

Option A is incorrect because CPI fell from 104 in 2009 to 102 in 2010, so prices did not rise each year.

Option B is incorrect because the largest percentage rise occurred between 2008 and 2009 (4%), not in 2011.

Option C is incorrect because inflation in 2010 was negative, as shown through a fall in CPI — there was deflation, not a 2% rise.

16-B:

Option B is correct because higher raw material prices increase firms' costs of production, shifting short-run aggregate supply left. With demand unchanged, the new equilibrium has a higher price level and lower output representing cost-push inflation. Input cost increases feed directly into the general price level as firms pass costs to consumers to maintain margins.

Option A is incorrect because higher labour productivity lowers unit costs, shifting SRAS right and reducing inflationary pressure.

Option C is incorrect because higher income taxes reduce disposable incomes, weakening consumption, subsequently reducing aggregate demand and tending to lower the price level.

Option D is incorrect because higher subsidies lower production costs, increasing SRAS and lowering prices.

17-A:

Option A is correct because an increase in a country's budget deficit usually means the government is spending more than it collects in taxes, often by borrowing and increasing government expenditure. In the **circular flow of income model**, government spending is an **injection** into the economy, which can stimulate further rounds of spending through the

multiplier effect. This extra spending increases the overall flow of money between households and firms.

Option B is incorrect because imports represent a **leakage** from the circular flow. This is because money leaves the domestic economy to pay for foreign goods and services, reducing domestic income and output.

Option C is incorrect because higher interest rates tend to reduce borrowing and consumption by households as well as investment by firms. This lowers **injections** from investment, thereby reducing the circular flow of income.

Option D is incorrect because an increase in the exchange rate makes a country's exports more expensive and imports cheaper. This tends to reduce export revenues (a fall in injections) and increase spending on imports (a rise in leakages), both of which shrink the circular flow of income.

18-B:

Option B is correct because nominal GDP growth of 5% with inflation at 3% gives real GDP growth of about 2%. With population constant, real GDP per capita rises, signalling higher average living standards.

Option A is incorrect because holding unemployment steady does not guarantee higher living standards if real GDP does not rise.

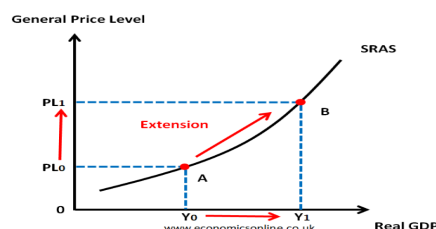
Option C is incorrect because no increase in real national income means no real improvement, regardless of nominal changes.

Option D is incorrect because no redistribution of income would signal a rise in inequalities that can worsen inequalities.

19-B:

Option B is correct because a **normal SRAS slopes upward** : higher prices encourage more output in the short run as firms respond to higher profit opportunities.

The correct diagram labels **real output/real GDP on the horizontal axis** and **price level on the vertical axis**. This is evident in the diagram below. Hence, B becomes correct.



20-C:

Aggregate demand rises:

->Raising the tax-free allowance immediately increases households' disposable income, especially for low- and middle-income earners who spend a larger share of any extra income. The marginal propensity to consume (MPC) is typically higher for these groups, so consumption (C) rises sharply.

-> Lower marginal tax rates also increase after-tax wages, which further raises disposable income and encourages consumption. Higher consumption feeds directly into the AD identity ($AD = C + I + G + (X-M)$), and the initial consumption boost is multiplied through the economy (income → more consumption → more income), so the net effect is a clear increase in AD.

Aggregate supply rises:

Lower marginal tax rates raise the after-tax return to working, investing and entrepreneurship.

->Labour supply increases: Now, work becomes relatively more attractive than leisure and increased participation can raise total hours worked or labour force participation, expanding productive capacity.

-> Incentives to invest and produce: with higher post-tax returns, people may supply more labour to start businesses or firms may see stronger incentives for investment and hiring.

All of this increases Aggregate Supply.

21-B:

Option B is correct because cutting unemployment benefits is a supply-side policy that **reduces government spending**. Lower benefit payments reduce government spending, helping to reduce the budget deficit.

Option A is incorrect because cutting corporate tax rates reduces revenue immediately, so it is more likely to increase the deficit in the short run.

Option C is incorrect because raising education and training spending increases government expenditure, worsening the deficit in the short run.

Option D is incorrect because higher tax-free allowances cut revenue directly, likely increasing the deficit.

22-C:

Option C is correct because an **increase in government spending** directly raises aggregate demand as it is an **injection** into the economy, which will boost Aggregate demand of an economy.

While a **decrease in taxes** leaves households higher disposable income, boosting consumption, which will boost Aggregate demand.

At the same time, an **increase in the money supply** is an expansionary monetary policy that lowers interest rates, encouraging borrowing and spending. This will boost Aggregate demand.

Since all these are “expansionary policies”, key C becomes correct.

23-C:

On the PPC means the economy is operating at full employment level of output, with all resources fully utilised. Aggregate demand is already high, so the economy is “overheated,” often causing demand-pull inflation. In such a case, contractionary monetary policy, like raising interest rates, is very effective because reducing borrowing and spending cools down excess demand, bringing inflation under control.

If, at the same time, **aggregate demand is highly responsive to interest-rate changes**, investment, consumption and net exports will decrease significantly upon a rise in interest rates. Therefore, a rise in interest rates will produce a large fall in AD.

This explains why key C is correct.

On the contrary, **below the PPC** means the economy is producing inside its potential capacity, which indicates underutilisation of resources and unemployment. In this situation, the problem is insufficient aggregate demand, not excessive demand. Therefore, contractionary monetary policy (like raising interest rates) is not appropriate; **instead, expansionary monetary policy is needed to stimulate spending, investment, and job creation to move the economy closer to the PPC.**

Additionally, if aggregate demand is not responsive to interest rate changes, monetary policy would be ineffective.

24-C:

Option C is correct because higher domestic inflation raises the prices of export oriented goods produced in the economy relative to imports, reducing competitiveness. This leads to lower export volumes and higher import volumes, worsening the trade in goods and services balance from $-\$1000\text{m}$ to $-\$4000\text{m}$ over the period shown. Hence, option C becomes the right option.

Option A is incorrect because higher unemployment would reduce import demand through weaker spending, possibly improving the trade balance.

Option B is incorrect because higher income tax reduces disposable income, lowering import demand, which could improve the trade position.

Option D is incorrect because higher import tariffs discourage imports, which would improve, not worsen, the trade balance.

25-B:

Improving skills of workers in the industrial sector is a supply-side policy aimed at increasing productivity. Higher productivity means firms can produce more output per worker at a lower unit cost. This reduces the overall cost of production, enabling firms to offer products at more competitive prices in international markets while potentially improving quality. This is likely to increase foreign demand for exports. As a result, exports are likely to rise, making **B** correct.

This also means **A** is incorrect, as there is no reason for exports to fall when the industrial sector becomes more efficient and competitive.

Option C (imports fall) is incorrect because improving the skills of domestic workers does not directly reduce the economy's demand for imports.

Option D (imports rise) is incorrect because the main direct effect of training is to boost productivity and competitiveness in exports, not to increase import demand.

26-A:

Option A is correct because the theory of comparative advantage says each country should specialise in the good with the lower opportunity cost. X's opportunity cost of 1 steel = 3 wheat; Y's is 1 steel=4 wheat. X has a comparative advantage in steel, so it should produce only steel and trade for wheat.

Option B is incorrect because X still gains from specialising according to comparative advantage.

Option C is incorrect because Y has a comparative advantage in wheat (opportunity cost of 1 wheat = 0.25 steel vs X's 0.33 steel).

Option D is incorrect because both countries can gain from trade if each specialises in its comparative advantage.

27-D:

Option D is correct because higher trade barriers in country Y reduce its imports from country X. Lower demand for X's exports means reduced foreign currency inflows to X, decreasing demand for X's currency and causing it to depreciate. Hence, key D is correct.

Option A is incorrect because economic growth in Y usually increases demand for imports from X. This will increase export revenues of country X, and when the demand for currency increases, this will appreciate the currency of country X.

Option B is incorrect because higher inflation in Y makes its goods less competitive, encouraging it to import more from X. This would raise demand for X's currency, causing the currency to appreciate.

Option C is incorrect. If country Y's money supply rises, its interest rates are likely to fall, which stimulates domestic spending and investment; aggregate demand and GDP grow and domestic incomes rise. Higher incomes in Y increase demand for imports, including goods from country X. To pay for those extra imports they need more of X's currency, raising demand for X's currency on foreign-exchange markets. That higher demand causes X's currency to appreciate.

28-C:

Option C is correct because foreign company investments are part of the financial account, not the current account. The current account records trade in goods/services, primary income flows, and current transfers (secondary income flows), not capital movements.

Option A is incorrect because aid from foreign governments is a secondary income (current transfer) in the current account.

Option B is incorrect because exports of raw materials are part of trade in goods within the current account.

Option D is incorrect because dividend payments to overseas investors are primary income flows recorded in the current account.

29-A:

Option A is correct because import tariffs on raw materials raise input costs for domestic firms that use these imports in production. Higher costs shift supply curves left, raising prices for domestic consumers.

Option B is incorrect because higher costs tend to raise domestic prices, which reduces consumer surplus.

Option C is incorrect because tariffs generate revenue for the government, not reduce it.

Option D is incorrect because tariffs raise import prices, which reduces import demand rather than increasing it.

30-C:

The correct answer is **C – The price of its imports rises by less than the prices of its exports**. This is because the terms of trade measure the ratio of export prices to import prices. If the price of exports increases more than the price of imports, the country is able to buy more imports with the same quantity of exports. This represents an improvement in the terms of trade.

Option A is incorrect because it focuses on the value of imports and exports rather than prices. Value is determined by both price and quantity, and can help to gain an understanding of the Balance of Trade. Whereas the terms of trade specifically compares relative prices of exports and imports.

Option B is incorrect because it compares the volume of imports and exports. While volumes affect the trade balance, they do not determine the terms of trade.

Option D is incorrect because it refers to the value of external payments and receipts, which are components of the balance of payments. The terms of trade, however, are concerned with the ratio of export prices to import prices and are not measured through these payment flows.